Project Falcon: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

Proposed acquisition of Talonfield Systems, Inc. (NASDAQ: TLFS) by Arbelion Industries, Inc.

October 18, 2026

Fictional case study

Prepared by an AI multi-agent diligence system with human review

Draft for human decision-makers. Not investment, legal or accounting advice.

1. Executive summary

Bottom line (proposed): Do not proceed at the current price. The $24.00 per share offer rests on a management case that Talonfield itself withdrew on August 6, 2026. Several Critical risks are also open: revenue quality, the largest customer, the Vantor patent case and a possible covenant default. The Investment Committee makes the decision. If it wants to stay in the process, we suggest a re-priced bid with the conditions in Section 7.

All amounts are US$ millions unless stated. Finding IDs refer to the risk matrix in Section 4.

Top five red flags

1. **The valuation basis is stale (X-01, FIN-021, SEC-001).** Deal model v3 (September 2026) uses the March 2026 case: FY2026E revenue $560.0m and Adjusted EBITDA $118.0m. On August 6, 2026 the company cut guidance to $470.0m to $490.0m and $70.0m to $78.0m. At $24.00 the enterprise value of $1,352.8m is 18.3x the new $74.0m midpoint, not 11.5x. At the model's own 11.46x the equity is worth $12.60 to $14.50 per share.
2. **FY2025 revenue quality (X-02, SEC-002, FIN-020).** $31.8m of Q4 2025 revenue (20.6% of the quarter) was bill-and-hold, $24.6m of it from Norvale. $9.4m was later returned. Without it, FY2025 growth was 11.6%, not 19.1%, and hardware growth was 2.9%, not 15.1%. The prior auditor was dismissed after warning about these deals. A short seller and a securities class action make related ALLEGATIONS.
3. **Norvale, the largest customer, is at risk (X-03, SEC-006, NEWS-007).** Norvale is $156.2m, 31.1% of revenue and 38% of receivables. It can terminate on 90 days' notice when this deal closes, has no minimum volumes, and bought robot maker Kinetic Aisle to pilot its own robots in 2027.
4. **The Vantor patent case has turned against Talonfield (X-04, LIT-F01, SEC-026).** The July 22, 2026 claim construction largely favored Vantor, but the 10-Q filed 15 days later did not mention it. Vantor's expert claims $96.4m (the complaint pleads at least $140.0m), and Vantor will seek an injunction against Talon Gen-3, about $211.0m or 42% of revenue.
5. **A covenant default before closing is a material risk (X-07, FIN-016, FIN-018).** The reported 2.26x leverage ratio only reconciles using uncapped Adjusted EBITDA. The credit agreement caps add-backs at 15%. On that definition the June 30 ratio is 2.65x, or 3.62x (a breach of 3.50x) if stock-based compensation counts inside the cap. At the December 31 test (3.00x) the projected ratio is 3.06x to 3.56x even on the favorable reading. The result depends on the legal reading and on projections.

The business trend (X-06) is the backdrop to all five. In H1 2026 revenue fell 1.7%, hardware fell 12.9%, Adjusted EBITDA fell 23.3%, and backlog is down 29.8% since FY2024.

Main positive and mitigating points

- **Software still grows.** FieldOS software revenue grew 14.6% and services 14.4% in H1 2026. ARR is $146.8m and net revenue retention 111% (FIN-003, X-06).
- **Underlying growth is positive.** Even without bill-and-hold, FY2025 revenue grew 11.6%, and Q2 2026 grew 4.0% after adding back the $9.4m return (FIN-020).

- **Debt is a closing mechanic.** The debt is refinanced at closing in any case, because the change of control is itself an event of default (SEC-007, X-08). At June 30 the company was compliant on the favorable reading (2.65x vs 3.50x) (FIN-016).
- **Some disclosures were made openly.** The 10-K disclosed the bill-and-hold amounts and the material weakness, and the 10-Q disclosed the $9.4m return and the guidance cut (SEC-002, SEC-004).
- **Smaller matters are contained.** Ruiz is settled and accrued at $3.2m (SEC-013, not verified). Pinecrest's exposure may be capped at about $1.4m (LIT-F05).
- **The market is growing.** North American warehouse AMR spending is forecast to grow about 15% a year, and FieldOS is described as a differentiator (NEWS-011).
- **No manipulation attempts.** No source document tried to instruct the agents (X-17).

Valuation implications

Basis	EBITDA	EV / EBITDA at $24.00	Price per share at the deal's 11.46x
Management case (deal model v3)	118.0	11.5x	$24.00
FY2025 Adjusted EBITDA	98.8	13.7x	$19.44
LTM Adjusted EBITDA (Jun 30, 2026)	89.7	15.1x	$17.28
August 2026 guidance midpoint (range 70.0 to 78.0)	74.0	18.3x	$13.55 ($12.60 to $14.50)
LTM diligence-adjusted EBITDA	72.6	18.6x	$13.22

Sources: FIN-001, FIN-021, X-01, X-09. EV = $1,159.2m equity + $193.6m net debt at June 30, 2026. The constant-multiple prices are illustrative. They do not deduct the debt-like items below.

- **Possible debt-like deductions:**
  - up to $28.6m of change-of-control payments (X-08);
  - Vantor exposure ($96.4m expert figure, at least $140.0m pleaded, enhanced damages possible) (X-04);
  - securities class action exposure, not quantified (LIT-F03);
  - continued cash burn (LTM free cash flow -$26.4m) (FIN-008).
- **The premium is flattered.** The 34% premium is measured against $17.85, after a reported sale leak (RUMOR). Against the undisturbed price of about $15.36 the premium is about 56% (X-11).

2. Answers to the Investment Committee's questions

Q1. Is Talonfield's revenue growth real and sustainable?

Partly real, but overstated and not sustained.

- **Reported FY2025 growth was flattered.** It was 19.1%. Without $31.8m of Q4 bill-and-hold revenue it was 11.6%, and hardware growth was 2.9% (SEC-002, FIN-020, X-02). The 10-K credited Q4 to "strong hardware deliveries" while those goods "remained in our warehouses" (SEC-029).
- **Growth has since stopped.**

    - H1 2026 revenue fell 1.7% and hardware fell 12.9% (FIN-003).
    - Backlog fell from $168.0m to $118.0m (FIN-009).
    - Net revenue retention fell to 111% (FIN-009).
    - Guidance now implies FY2026 revenue down about 4.4% (SEC-001, X-06).
- **Customers are building their own robots.** Norvale bought Kinetic Aisle, and retailers are moving robots in-house (NEWS-007, NEWS-011).
- **Software is the real growth engine.** FieldOS grew 14.6% in H1 2026, but ARR growth slowed to about 11% annualized (X-06).

Q2. Are there legal exposures that could reduce value or block closing?

Yes.

- **Vantor patent case (LIT-F01, LIT-F08 to LIT-F12, X-04).** This is the most serious.
    - The July 22, 2026 claim construction went largely to Vantor, and the court denied a stay.
    - Vantor's expert claims $96.4m through trial, and willfulness is alleged.
    - Vantor will seek a permanent injunction against Gen-3, about 42% of revenue (SEC-026).
    - PTAB refused to review the key '557 patent (LIT-F09).
    - Mediation is ordered for December 2026 and trial is March 8, 2027.
- **Securities class action (LIT-F03, SEC-011).** It ALLEGES revenue inflation through bill-and-hold and incomplete disclosure of control weaknesses. An amended complaint is due November 9, three days after the IC meeting (LIT-F04).
- **Pinecrest (LIT-F05).** It claims $12.0m over the April 2026 cyber outage. Talonfield says a contractual cap of about $1.4m applies, and a hearing is set for November 5.
- **Disclosure gaps (X-04, X-05, X-18).** The 10-Q omitted the adverse Markman ruling and called the cyber incident "not material". These gaps raise the risk that more of the same follows.
- **Closing risk.** None of these cases blocks closing directly. However, an injunction or adverse summary judgment between signing and closing would change value materially.

Q3. How dependent is Talonfield on key customers, and are those relationships at risk?

Highly dependent, and the top relationship is at risk.

- **Concentration (FIN-004).** Norvale is 31.1% of revenue ($156.2m), 3.8x the next customer (Quillon, $41.2m). The top 10 customers are 61.5%. Norvale supplied 47.3% of FY2025 growth.
- **Norvale contract terms (SEC-006, X-03).** The MSA ends September 30, 2027, has no minimum volumes, and allows termination on 90 days' notice on a change of control.
- **Norvale's own plans (NEWS-007).** It bought Kinetic Aisle and will pilot its own robots at 5 sites in 2027.
- **Norvale's share of the bill-and-hold (X-03).** About $24.6m of Norvale's 2025 revenue was bill-and-hold. The $9.4m return was by "our largest customer" (an inference that this was Norvale).
- **Other named customers (X-15).**
    - Pinecrest (rank 4, $17.4m) is suing.
    - Harbor & Vine (rank 5, $15.1m) expanded in February 2026.
    - Quillon (rank 2) and Ardent (rank 3) have no adverse news.

Q4. Are there balance sheet, debt or liquidity issues we would inherit at closing?

Yes.

- **Debt is repayable at closing (SEC-007, X-08).** Net debt was $193.6m at June 30, 2026 (revolver $45.0m, term loan $182.5m, cash $33.9m), and all of it becomes repayable on a change of control.
- **Possible default before closing (X-07, FIN-015 to FIN-019).** The covenant may already be breached on one reading (3.62x vs 3.50x at June 30). It is projected to fail the December 31 test at 3.00x on the other reading, depending on H2 add-backs.
- **Cash generation has collapsed (FIN-008, SEC-009).** Operating cash flow fell from $40.8m (FY2024) to $9.7m (FY2025) and -$4.2m (H1 2026). LTM free cash flow is -$26.4m. Only $25.8m of revolver capacity remained at June 30.
- **Working capital needs scrutiny (FIN-007, FIN-011, X-13).**
  - DSO rose from 63.5 to 86.4 days while the credit loss allowance was cut.
  - Inventory days rose to 111, partly from returned bill-and-hold robots.
- **Balance sheet quality (FIN-014, X-16).** Goodwill and intangibles exceed equity, and the $57.4m of Lumora goodwill was last tested before the guidance cut.

Q5. Are there management, governance or internal control concerns?

Yes, significant ones (X-10, X-18).

- **Auditor change (SEC-003, NEWS-003).** The auditor of nine years was dismissed on November 10, 2025, after it warned of expanded Q4 procedures. It was replaced by a small firm.
- **Material weakness (SEC-004).** The weakness over non-standard hardware contracts was still unremediated at June 30, 2026, and disclosure controls were not effective.
- **CFO departure (SEC-005, NEWS-005).** The CFO left in January 2026 with a $900,000 payment and a general release. The reason is a RUMOR (revenue timing). An interim CFO was still in place at the August 10-Q.
- **2025 bonus (SEC-014, SEC-030).** Bonuses paid 142% of target. Without bill-and-hold, revenue would have been only $0.5m above the threshold.
- **Board structure (SEC-017, not verified).** The Chair and CEO roles are combined and there is no lead independent director.
- **Disclosure pattern (X-18).** Filings framed events more favorably than other sources: Q4 "deliveries", the Vantor ruling, the cyber incident and the covenant ratio.

Q6. What price adjustments or deal protections should we ask for?

See Section 7. In short:

- **Price.** Re-price on the August guidance and on diligence-adjusted EBITDA, and treat change-of-control payments and litigation exposure as debt-like.
- **Pre-signing conditions.**
  - a Norvale consent and waiver;
  - a Vantor-specific escrow or indemnity, or a settlement or license;
  - a forensic revenue review and a quality of earnings report.

- **Closing conditions.** A covenant compliance bring-down and a refinancing plan.
- **Representations.** Specific reps on revenue recognition, controls and SEC reports.
- **Timing.** Move the IC decision past the early November court and filing dates.

3. Note on finding status

Every finding in Section 4 was checked by an independent citation verifier against the source files:

- **Verified:** the claim, numbers and citations hold.
- **Partially verified:** the substance holds, but the wording was corrected. The corrected wording is shown.

No finding was rejected. Findings that were not sent for verification are listed in the Appendix and labeled "not verified".

4. Risk matrix

Severity: Critical, High, Medium, Low (see the Appendix for definitions). Confidence: High, Medium, Low. Actions: Price, Structure, Condition, Indemnity, Further diligence.

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-01	The deal model's valuation basis is stale: the company withdrew the March case on Aug 6, 2026, a month before deal model v3 (Sep 2026). At $24.00 the EV of $1,352.8m is 18.3x the new $74.0m EBITDA midpoint, not 11.5x. The same 11.46x on $74.0m implies about $13.55 per share.	Cross-source	Critical	High	Valuation (about 43% gap at 11.46x)	Price: re-base on Aug 2026 guidance

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-02	Q4 2025 revenue quality: $31.8m of Q4 2025 hardware revenue (20.6% of Q4) was bill-and-hold, $24.6m of it from Norvale, the largest customer; $9.4m was returned and credited in Q2 2026. Without it, Q4 growth was 5.1% (not 32.4%) and FY2025 growth 11.6% (not 19.1%). The prior auditor warned in Q3 2025 of expanded Q4 procedures and was dismissed on Nov 10, 2025 (8-K: no disagreements). Without these sales, FY2025 revenue of $470.5m would have been just above the $470.0m bonus threshold rather than above the $490.0m target, so the 142% payout was materially helped by them. The CFO exit reason (RUMOR), the Greyfin claims (ALLEGATION) and the securities class action (ALLEGATION) all point at the same transactions.	Cross-source	**Critical**	High (facts) / Low (allegations)	Revenue quality; restatement; litigation	Further diligence: forensic review; specific indemnity
X-03	Norvale (rank 1, $156.2m, 31.1% of revenue, 38% of AR) is at risk on several fronts: it can terminate on 90 days' notice when this deal closes, has no minimum volumes, its MSA ends Sep 30, 2027, and it bought competitor Kinetic Aisle for a 2027 pilot. About $24.6m of its 2025 revenue was bill-and-hold.	Cross-source	**Critical**	High	Up to 31% of revenue at risk	Condition: Norvale consent and waiver

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-04	Vantor disclosure gap and product risk: the Jul 22, 2026 Markman order adopted Vantor's construction on 3 of 4 terms, but the 10-Q filed 15 days later (Aug 6, 2026) still said only 'in discovery' and 'without merit', with no accrual (an omission rather than a misstatement). Vantor (one of the two larger rivals Calder ranks ahead of Talonfield) seeks $96.4m (expert; complaint at least $140.0m), enhanced damages for alleged willfulness, and an injunction against Talon Gen-3 (about $211.0m, 42% of FY2025 revenue). The key '557 patent is outside the PTAB review. FieldOS 5 features also need Gen-3.	Cross-source	**Critical**	High (timing) / Low (damages)	Damages; injunction on 42% of revenue	Indemnity and escrow; condition on settlement/license
X-06	Trend: most indicators are deteriorating. H1 2026 revenue -1.7% (hardware -12.9%; software +14.6% and services +14.4% still grew), Q2 -4.0%; gross margin 40.8% to 38.0%; Adj. EBITDA 39.0 to 29.9 (-23.3%); backlog 168.0 (FY2024) to 131.0 to 118.0 (-29.8%); NRR 121% (FY2023) to 118% (FY2025) to 111% (Jun 2026); ARR +5.5% in H1 2026 (about 11% annualized) vs +27% in FY2025; OCF 40.8 (FY2024), 9.7 (FY2025), -4.2 (H1 2026); LTM FCF -26.4. Guidance implies FY2026 revenue -4.4% while Calder forecasts market growth of about 15% a year, which suggests (inference) Talonfield is losing share.	Cross-source	**Critical**	High	Valuation; growth	Price

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-07	Covenant default risk before closing: the reported 2.26x at Jun 30, 2026 equals (227.5 - 25.0) / 89.7, i.e. (inference from the arithmetic) uncapped company Adjusted EBITDA, though the credit agreement caps Permitted Add-backs at 15%. On the contractual definition the Jun 30 ratio is 2.65x (SBC outside cap) or 3.62x (SBC inside cap, a breach of 3.50x). At the Dec 31, 2026 test (3.00x) the projected ratio is 3.06x-3.56x across guidance on the more favorable reading. A covenant default before closing is a material risk; it depends on the legal reading of the credit agreement (not in the data room), the projections, and the closing date. On the company's own method the Dec 31 ratio at the guidance midpoint would be about 2.70x. The change of control is itself an event of default, so refinancing at closing is required.	Cross-source	Critical	Medium	Pre-closing default; financing	Condition: bring-down, lender consent; payoff at closing
SEC-001	Aug 6, 2026 guidance cut to FY2026 revenue $470.0-490.0m and Adj. EBITDA $70.0-78.0m replaces the March case ($560.0m / $118.0m) the deal model still uses; midpoints -14.3% and -37.3%.	SEC filings	Critical	High	Valuation	Price: re-base on Aug 2026 guidance
SEC-002	$31.8m Q4 2025 bill-and-hold revenue (20.6% of Q4; $24.6m from largest customer); $9.4m returned and credited in Q2 2026; FY2025 growth ex bill-and-hold 11.6% vs 19.1% reported.	SEC filings	Critical	High (amounts)	Valuation; restatement risk	Further diligence: forensic revenue review; Price

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-006	Norvale 31.1% of 2025 revenue and 38% of gross AR; MSA to Sep 30, 2027, no minimum volume, terminable on 90 days' notice after a change of control.	SEC filings	**Critical**	High	Revenue at risk; closing	Condition: Norvale consent and waiver
SEC-026	Gen-3 (about 70% of hardware) is about $211.0m, 42.0% of 2025 revenue; 10-K warns it may have to "stop selling Talon Gen-3 robots".	SEC filings	**Critical**	Medium	Revenue at risk (injunction)	Indemnity and escrow; condition on settlement/license
NEWS-001	Aug 7, 2026 guidance cut (revenue $470-490m, Adj. EBITDA $70-78m) makes deal model case stale; about 18.3x on new midpoint.	News	**Critical**	High	Valuation	Price: re-base on Aug 2026 guidance
NEWS-002	ALLEGATION (Greyfin Research, which is short TLFS; May 12, 2026): bill-and-hold sales were used to meet 2025 revenue targets; 'hundreds' of Q4 robots were still in the Columbus warehouse in February 2026 (photos, 2 former warehouse staff); the largest customer did not request the arrangement (1 former sales employee); without them the bonus revenue target would have been missed. Company: 'misleading and inaccurate'. Partly corroborated by primary sources (10-K Note 2: $31.8m bill-and-hold, $24.6m largest customer, goods in warehouse at Dec 31, 2025; DEF 14A target $490.0m vs $470.5m ex bill-and-hold). Not corroborated: the February 2026 warehouse claim and that the customer did not request it.	News	**Critical**	Medium	Revenue quality; litigation	Further diligence: forensic review

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
LIT-F01	Vantor case turned against Talonfield: Markman order Jul 22, 2026 adopts Vantor's construction on 3 of 4 terms; Gen-3 Plus added; Vantor expert $96.4m; permanent injunction sought; stay denied.	Litigation	**Critical**	High (events) / Low (damages)	Damages; injunction on Gen-3	Indemnity and escrow; condition on settlement/license
FIN-001	H1 2026 delivered 25.3% of $118.0m EBITDA case and 39.8% of revenue case; EV $1,352.8m is 15.1x LTM Adj. EBITDA; implied price at 11.46x on LTM Adj. EBITDA $17.28.	Financial	**Critical**	High	Valuation	Price
FIN-016	Jun 30, 2026 ratio on the contractual definition: 2.65x if SBC is outside the cap (pass), 3.62x if inside (breach of 3.50x).	Financial	**Critical**	Medium	Pre-closing default risk	Condition: bring-down or lender consent
FIN-018	Dec 31, 2026 (3.00x), projected: Reading A 3.29x at guidance midpoint (3.06x top, 3.56x bottom), Reading B about 5.0x, company method at H1 run-rate 3.34x. Assumes H2 add-backs equal H1 (19.5) and debt of 225.0 with 25.0 cash netted. The top of guidance passes if H2 non-SBC add-backs fall to 9.4 or less (midpoint: 5.4 or less). Revolver-funded cash burn would raise the ratios (midpoint 3.46x at 210.0 net debt). A breach is more likely than not under these assumptions but is not certain.	Financial	**Critical**	Medium	Pre-closing default risk	Condition: bring-down or lender consent
FIN-021	Confirmed EV 1,352.8, 18.3x on guidance midpoint; 11.46x on 74.0 implies $13.55 per share ($12.60-$14.50 across guidance), 43.5% below the offer.	Financial	**Critical**	High (math)	Valuation	Price: re-base on guidance

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-05	Cyber incident disclosure gap: on Apr 11, 2026 unauthorized activity forced FieldOS systems offline, stopping robots at at least 40 customer sites (news) for up to three days. No 8-K Item 1.05 had been filed as of Apr 14, 2026 (news), and none is in the filings provided. The 10-Q MD&A discloses the incident but calls it not material and did not update the risk factors; the Apr 24 proxy excerpts do not mention it. Costs: $2.3m credits, $1.8m response costs (added back), and a $12.0m suit by Pinecrest (rank 4 customer, $17.4m), which alleges a failure to patch a known vulnerability; Talonfield says liability is capped at about $1.4m. The ransomware data-theft claim is UNVERIFIED.	Cross-source	**High**	Medium	Cyber claims; disclosure	Indemnity (cyber); forensic report
X-08	The change of control triggers a cascade: debt event of default (about $227.5m repayable); Norvale termination right; up to $28.6m of executive change-in-control payments (proxy estimate as of Dec 31, 2025: $17.6m single-trigger equity acceleration, $9.6m double-trigger cash severance payable only on a qualifying termination, $1.4m other); and an HQ rent reset to 'fair market value' by an appraiser chosen by the landlord, Hale Family Properties (CEO Hale owns 14.2% of Talonfield).	Cross-source	**High**	High	Closing cost and consents	Price (debt-like items); conditions and waivers

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-09	Adjusted EBITDA quality: add-backs are 46.3% of LTM Adj. EBITDA; restructuring recurs every year (news confirms the 4th program since 2022). Diligence-adjusted LTM EBITDA is $72.6m vs $89.7m reported. Part of the $35.0m synergy case may overlap with cuts already made.	Cross-source	High	High (math) / Medium (classification)	EBITDA quality; synergies	Price: quality of earnings
X-10	Governance and controls cluster: auditor since 2016 dismissed Nov 10, 2025 for a small firm (fewer than 10 public clients) after it flagged a weakness; material weakness first identified in Q3 2025 and still unremediated at Jun 30, 2026 (ICFR not effective at Dec 31, 2025; disclosure controls not effective at Jun 30, 2026); CFO paid $900,000 with a general release (8-K: no disagreement; reason for the exit is a RUMOR); interim CFO since Feb 15, 2026, still interim at the Aug 6, 2026 10-Q (about 6 months; current status unknown); combined Chair/CEO, no lead independent director.	Cross-source	High	High	Governance; reliability of numbers	Reps; forensic review; management assessment

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-18	Disclosure-quality pattern: two filings contain four statements more favorable than other sources show. The 10-K MD&A credits Q4 to 'strong hardware deliveries' although its own Note 2 says $31.8m of goods remained in the warehouse. The 10-Q says the Vantor case is 'in discovery' 15 days after an adverse Markman ruling. The 10-Q calls the cyber incident 'not material'. The 10-Q's 2.26x covenant ratio appears (inference) to use EBITDA without the contractual add-back cap. With the unremediated material weakness, this lowers reliance on management disclosure and supports broad reps, a forensic review and specific indemnities.	Cross-source	**High**	Medium	Disclosure reliability	Reps on SEC reports; specific indemnities
SEC-003	Auditor Hartwell & Pryce dismissed Nov 10, 2025 after flagging a Q3 material weakness and warning of expanded Q4 audit scope on non-standard deals; 8-K says no disagreements.	SEC filings	**High**	High	Controls; disclosure	Further diligence: Audit Committee minutes, predecessor auditor
SEC-004	Material weakness over non-standard hardware contracts (incl. bill-and-hold) unremediated at Jun 30, 2026; adverse ICFR opinion; disclosure controls not effective.	SEC filings	**High**	High	Controls; post-closing cost	Indemnity/reps on controls; remediation plan
SEC-005	CFO Okafor resigned Jan 2026 with a $900,000 payment and general release; named defendant in securities suit; interim CFO still in place Aug 2026.	SEC filings	**High**	High (facts)	Governance; finance leadership	Further diligence: separation agreement, CFO search
SEC-007	Change of control is an event of default under the credit agreement; all loans repayable on demand.	SEC filings	**High**	High	Financing at closing	Structure: payoff letters, refinance at closing

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-008	Maximum net leverage steps down from 3.50x to 3.00x from Sep 30, 2026; Permitted Add-backs capped at 15% of Consolidated EBITDA before add-backs. The reported 2.26x equals (227.5 - 25.0) / 89.7, i.e. uncapped Adjusted EBITDA. On the contractual definition the Jun 30 ratio is about 2.65x (SBC outside cap) or 3.62x (above 3.50x, SBC inside cap). Headroom at the 3.00x tests is thin to negative (see FIN-015 to FIN-018).	SEC filings	**High**	Medium	Pre-closing default risk	Condition: covenant bring-down; get credit agreement
SEC-010	Vantor patent suit threatens Talon Gen-3 (about 70% of hardware, about 42% of revenue); no accrual; 10-Q says "in discovery".	SEC filings	**High**	High	Damages; product continuity	Indemnity and escrow (Vantor)
SEC-011	Putative securities class action (S.D. Ohio, Jun 3, 2026) against Talonfield, CEO Hale and former CFO Okafor ALLEGES misstatements on revenue and internal controls. The 10-Q discloses no accrual, loss estimate or range.	SEC filings	**High**	High	Litigation exposure	Indemnity; confirm D&O tail
SEC-012	April 2026 FieldOS cyber incident called "not material" despite $2.3m credits, $1.8m response cost and a $12.0m Pinecrest suit (Talonfield says its contract caps liability at about $1.4m); cyber risk factor not updated.	SEC filings	**High**	High (facts)	Customer claims; disclosure	Indemnity (cyber); forensic report
SEC-024	Q2 2026 10-Q Vantor disclosure is three sentences ("in discovery", "without merit", no accrual) and omits the Jul 22, 2026 Markman order issued 15 days earlier; patent risk factor not updated.	SEC filings	**High**	High	Disclosure	Reps on SEC reports; ASC 450 assessment

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-028	The $9.4m return of Q4 2025 bill-and-hold goods to inventory was booked as a Q2 2026 revenue reduction under a May 2026 contract amendment, not as a correction of 2025. In our view (interpretation, not confirmed), the return raises the question whether criteria (a) and (d) were met at Dec 31, 2025; if not, a 2025 error correction may be required.	SEC filings	**High**	High (facts) / Medium (interpretation)	Restatement risk	Further diligence; specific indemnity
SEC-029	The 10-K attributed record Q4 2025 revenue to 'strong hardware deliveries to enterprise customers', while Note 2 says $31.8m (20.6% of Q4 revenue) 'remained in our warehouses' at year end. The 10-Q later says Q2 2026 hardware was affected partly by 'orders that customers pulled forward into the fourth quarter of 2025'. Bill-and-hold of 31.8 is 84% of the Q4 YoY increase of 37.8.	SEC filings	**High**	High	Disclosure; revenue quality	Reps on SEC reports; forensic review
SEC-032	The 10-Q discloses the step-down to 3.00x from Sep 30, 2026. No filing provided mentions a covenant waiver, a covenant amendment since Aug 2024, or any forward compliance assessment. Estimates using uncapped Adjusted EBITDA should not be relied on (see FIN-015 to FIN-018).	SEC filings	**High**	Medium	Pre-closing default risk	Condition: compliance certificates, lender consent
NEWS-003	Auditor switch to small firm Linden Barr after old auditor flagged material weakness; adverse ICFR opinion.	News	**High**	High	Controls	Further diligence: auditor change
NEWS-004	Record Q4 2025 ($154.4m vs about $128m consensus) came with receivables jump and OCF under $10m.	News	**High**	High	Earnings quality	Further diligence: quality of earnings

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
NEWS-005	CFO Okafor resigned Jan 20, 2026 with a $900,000 separation payment and general release (8-K); 8-K says no disagreement. RUMOR (2 anonymous sources): the exit followed tension with CEO Hale over how to book several large Q4 2025 hardware orders. One source said Okafor argued revenue should wait until delivery to customer sites in 2026; the other said the dispute was 'about timing, not about whether the orders were real'.	News	**High**	High (facts) / Low (reason)	Governance	Further diligence: separation terms
NEWS-006	Cyber incident (Apr 11, 2026) halted robots at at least 40 customer sites for up to 3 days (news; 10-Q says 'some customers'). No 8-K Item 1.05 had been filed as of Apr 14, 2026 (news), and none appears in the SEC files provided. Company says 'not material'. Ransomware group's data-theft claim is UNVERIFIED; the company found no evidence data was taken.	News	**High**	Medium	Cyber liability; churn	Indemnity (cyber); forensic report
NEWS-007	Norvale (largest customer) bought robot startup Kinetic Aisle; 2027 pilot at 5 DCs; wants less dependence on any single vendor.	News	**High**	High	Revenue at risk	Condition: Norvale consent; volume commitment

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
LIT-F03	ALLEGATION (untested pleading): securities class action (10(b)/20(a)) alleges 2025 revenue was inflated by bill-and-hold sales that did not meet accounting requirements, including sales the customer had not requested, and that defendants failed to disclose the full extent of control weaknesses over hardware revenue recognition. Proposed class period Mar 10, 2025 to May 12, 2026. No damages amount stated.	Litigation	**High**	Low (merits) / High (existence)	Securities exposure	Indemnity; D&O tail
LIT-F08	Markman order (Jul 22, 2026) adopted Vantor's construction on 3 of 4 terms incl. "localization map", 15 days before the 10-Q.	Litigation	**High**	High	Disclosure	Reps on SEC reports
LIT-F10	Damages expert report under seal; PTAB decision, expert discovery close (Nov 20 = exclusivity end), SJ (Dec 18), mediation (Dec) cluster around the deal timeline.	Litigation	**High**	High	Timing; sealed damages report	Condition or escrow tied to mediation/SJ
LIT-F11	Willful infringement alleged since the Mar 11, 2024 complaint (allegation, untested). Enhanced damages for willfulness are listed among the relief sought in the case header. No multiplier or attorneys' fee request appears in the litigation records.	Litigation	**High**	High (pleaded) / Low (outcome)	Damages upside (willfulness)	Escrow sizing; counsel opinion
LIT-F12	Vantor's $96.4m reasonable-royalty figure runs 'through the trial date' (Mar 8, 2027). The report is sealed, so it is not known whether it includes Gen-3 Plus (added Aug 14, 2026). The public letter seeks a permanent injunction against Talon Gen-3 sales only. If Vantor prevails, post-trial sales could face an injunction or further royalties (inference).	Litigation	**High**	High / Medium (inference)	Post-trial royalty or injunction	Further diligence: design-around

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-002	Q4 2025 revenue +32.4% vs 13-14% in Q1-Q3; then -29.0% QoQ in Q1 2026; Q4 increase (37.8) matches Norvale's FY increase (38.1).	Financial	**High**	High / Medium (link)	Revenue quality	Price; forensic review
FIN-003	H1 2026 revenue -1.7%, hardware -12.9%, software slowed to +14.6%.	Financial	**High**	High	Growth	Price
FIN-004	Norvale 31.1% of FY2025 revenue (156.2), 47.3% of FY2025 growth; ex-Norvale growth 14.0%; top 10 = 61.5%.	Financial	**High**	High	Concentration	Condition: Norvale consent
FIN-005	Add-backs 35.1% of FY2025 and 65.2% of H1 2026 Adj. EBITDA; restructuring recurs every year; diligence-adjusted LTM EBITDA 72.6 vs 89.7.	Financial	**High**	High / Medium (classification)	EBITDA quality	Price: quality of earnings
FIN-006	H1 2026 gross margin 38.0% (from 40.8%); Adj. EBITDA -23.3%; opex +11.6% while revenue fell.	Financial	**High**	High	Margins; synergies	Price; revisit synergy case
FIN-007	DSO 63.5 to 86.4 days; contract assets +142%; allowance cut from 3.8% to 2.1% of gross AR while DSO rose. At the FY2024 rate the allowance would be about 2.0 higher (4.6 vs 2.6). Management attributes the cut to 'improved collection experience' (10-K Note 5), which conflicts with the DSO trend.	Financial	**High**	High	Working capital; revenue quality	Structure: peg; AR aging
FIN-008	OCF 40.8 to 9.7 (FY2025), LTM FCF -26.4; deferred revenue -11.8% in H1 2026.	Financial	**High**	High	Cash generation	Structure: peg; interim operating covenants
FIN-009	Backlog -22.0% in FY2025 and -9.9% in H1 2026; book-to-bill 0.88; NRR 121% to 111%; hardware revenue per robot -11.7%.	Financial	**High**	High	Forward revenue	Price

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-010	Net debt 193.6 at Jun 30, 2026 (revolver 45.0, term loan 182.5, cash 33.9); 4.02x LTM EBITDA, 2.16x Adj. EBITDA; H1 interest cover 1.32x.	Financial	High	High	Leverage; financing	Structure: refinance at closing
FIN-015	Reported 2.26x reproduces only as (227.5 - 25.0) / 89.7, i.e. uncapped company Adjusted EBITDA (add-backs 86.1% of EBITDA), ignoring the 15% cap.	Financial	High	High (math) / Medium (conclusion)	Covenant disclosure	Further diligence: compliance certificate
FIN-017	Sep 30, 2026 (3.00x): Reading A 2.84x-3.35x depending on proxy; Reading B about 4.0x or more.	Financial	High	Medium	Pre-closing default risk	Condition: Q3 compliance certificate
FIN-019	Cure needs: Jun 30 Reading B 6.9 (less than the 8.9 of cash above the 25.0 netting cap); Dec 31 Reading A 4.0 (top) to 31.6 (low), 17.8 at midpoint. Revolver: $75.0m commitment, $45.0m drawn, $4.2m letters of credit, $25.8m available at Jun 30, 2026 (10-K Note 9; 10-Q). Revolver draws add to Total Debt and cannot cure the ratio. H1 2026 FCF -13.0; cash fell 7.7 only after a 10.0 revolver draw (underlying outflow 17.7). No equity-cure right appears in the excerpts.	Financial	High	Medium	Liquidity to closing	Structure: interim covenants; financing plan
FIN-020	FY2025 hardware growth ex bill-and-hold 2.9% (vs 15.1%); Norvale ex bill-and-hold growth 11.4%, share 28.0%.	Financial	High	High	Growth quality	Price
X-11	The 34% premium is measured against $17.85, a price already lifted by the Oct 2 sale leak (RUMOR, +12%). Against the undisturbed price of about $15.36 the premium is about 56%.	Cross-source	Medium	Low	Premium basis	Price

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-12	LiDAR single source in China plus a proposed 25% tariff (decision Q1 2027): corroborated in filings and news; 2-3 point hardware margin risk (analyst estimate).	Cross-source	**Medium**	Medium	Hardware margin	Further diligence: sourcing plan
X-13	Working capital quality: AR +59% with the allowance cut, Norvale 38% of AR, collection of the $22.4m delivered bill-and-hold units unknown, inventory days 111, deferred revenue falling. A normalized working capital peg is needed.	Cross-source	**Medium**	High	Working capital	Structure: normalized peg
X-14	Litigation calendar clashes with the deal timeline: Pinecrest cap hearing Nov 5, IC Nov 6, securities amended complaint Nov 9, Ruiz final approval Nov 13, Vantor PTAB decision Nov 2026 and expert discovery close Nov 20 (exclusivity end), Vantor mediation Dec 2026.	Cross-source	**Medium**	High	Timing	Structure: move IC date, extend exclusivity
X-16	Goodwill impairment risk: $57.4m Lumora goodwill last tested Oct 1, 2025, before the guidance cut and a 48% share price fall; tangible equity is negative.	Cross-source	**Medium**	Medium	Purchase accounting	Further diligence: impairment
SEC-009	Operating cash flow fell to $9.7m (2025) and -$4.2m (H1 2026); revolver up to $45.0m; liquidity about $59.7m.	SEC filings	**Medium**	High	Liquidity; working capital	Structure: working capital peg
SEC-014	2025 bonuses paid at 142% of target; revenue ex bill-and-hold ($470.5m) would have been below the $490.0m target, just above the $470.0m threshold; excluding only the $9.4m returned, $492.9m, still above target.	SEC filings	**Medium**	High (revenue math)	Governance; incentives	Further diligence: clawback policy
SEC-015	Single-trigger equity vesting ($17.6m) and total change-in-control payments of $28.6m (Dec 31, 2025 values).	SEC filings	**Medium**	High	Transaction cost; retention	Price: treat as debt-like; retention plan

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-016	Related-party HQ lease (Hale Family Properties, to 2033, $2.1m rent) lets landlord reset rent to "fair market value" via its own appraiser on a change in control.	SEC filings	**Medium**	High	Post-closing cost	Condition: waiver of rent reset
SEC-018	Gross AR +59.2% vs revenue +19.1% while allowance cut from 3.8% to 2.1% of gross AR.	SEC filings	**Medium**	High	Earnings and working capital quality	Structure: peg; AR aging review
SEC-020	Q2 2026 revenue -4.0%, gross margin 37.6% (from 40.9%), Adj. EBITDA -33.0%, net loss $6.0m.	SEC filings	**Medium**	High	Valuation	Price
SEC-021	Goodwill $98.4m ($57.4m Lumora); last impairment test Oct 1, 2025, before the guidance cut.	SEC filings	**Medium**	Medium	Purchase accounting	Further diligence: interim impairment test
SEC-022	Single-source LiDAR supplier in China, no qualified second source.	SEC filings	**Medium**	High	Margin; supply continuity	Further diligence: second-source plan
SEC-025	The 10-Q legal proceedings excerpt drops the 10-K's ASC 450 wording (loss not probable, cannot estimate) and keeps only 'we have not recorded an accrual'. No excerpt provided gives a loss range or 'reasonably possible' assessment. The 10-Q notes, where ASC 450 disclosure normally sits, were not provided.	SEC filings	**Medium**	Medium	Disclosure	Further diligence: ASC 450 assessment
SEC-027	The 10-K Note 2 excerpt states the bill-and-hold policy, criteria (a) to (d), in general terms. It does not say which customers requested the Q4 2025 arrangements, the substantive reason, or how each criterion was met. Management's conclusion that they were met is implied by recognition but not supported in the filings provided.	SEC filings	**Medium**	High	Revenue quality	Further diligence: bill-and-hold documents

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-030	Bonus plan revenue threshold 470.0, target 490.0, maximum 510.0, actual 502.3 (revenue and Adj. EBITDA each 50%). Excluding Q4 bill-and-hold, revenue was 470.5, 0.5 above threshold; excluding only the 9.4 returned, 492.9, still above target. Payout 142% of target. The proxy excerpt does not mention a clawback policy.	SEC filings	**Medium**	High	Governance; incentives	Further diligence: clawback, payout curve
NEWS-008	July 2026 layoffs (about 60 jobs) are the 4th restructuring since 2022; costs excluded from Adj. EBITDA each year.	News	**Medium**	High	EBITDA quality; synergies	Price: exclude recurring restructuring
NEWS-009	Proposed LiDAR tariff 7.5% to 25% (decision Q1 2027); single Chinese supplier; analyst estimate 2-3 pt hardware margin hit.	News	**Medium**	Medium	Hardware margin	Further diligence: tariff and sourcing plan
NEWS-010	RUMOR: sale process leaked Oct 2; shares +12% to $17.20; undisturbed price about $15.36.	News	**Medium**	Low	Premium basis	Price: measure premium vs undisturbed price
NEWS-011	Market grows about 15% a year; Talonfield #3 with about 11% share behind Vantor; retailers moving in-house.	News	**Medium**	Medium	Long-term growth	Price: growth assumptions
LIT-F02	Key Vantor dates around IC and exclusivity: PTAB final written decision on '812 expected (not scheduled) in Nov 2026; expert discovery closes Nov 20, 2026 (same day exclusivity expires); mediation ordered for Dec 2026 (no day set); summary judgment motions due Dec 18, 2026; trial Mar 8, 2027.	Litigation	**Medium**	High	Timing	Structure: extend exclusivity, align timeline
LIT-F04	Securities case: amended complaint due Nov 9, 2026 (after IC); motion to dismiss Jan 2027.	Litigation	**Medium**	High	Timing; exposure may grow	Further diligence after Nov 9

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
LIT-F05	Pinecrest claims $12.0m over outage, alleges gross negligence to avoid about $1.4m cap; hearing Nov 5, 2026.	Litigation	**Medium**	High (dates) / Low (claim)	Customer claim ($1.4m to $12.0m)	General indemnity; monitor Nov 5 ruling
LIT-F09	PTAB denied institution of IPR on the '557 patent (May 15, 2025), which contains the 'localization map' term construed for Vantor on Jul 22, 2026. Only the '812 patent is under IPR. No IPR petition was filed on the '094 patent; Talonfield's May 20, 2024 counterclaims assert invalidity in district court (patents not specified).	Litigation	**Medium**	High	Patent defense strength	Further diligence: outside counsel
LIT-F13	ALLEGATION: proposed class period Mar 10, 2025 to May 12, 2026. The complaint alleges two corrective disclosures: the Nov 14, 2025 auditor change disclosure and the May 12, 2026 short seller report, after which the stock fell 18% in one day (drop corroborated by Capital Markets Wire, May 12, 2026).	Litigation	**Medium**	Low (merits) / High (dates)	Securities exposure	Indemnity; counsel on class scope
LIT-F14	Complaint extract does not cite the CFO payment, the bonus plan or the $9.4m return; candidates for the Nov 9 amended complaint.	Litigation	**Medium**	High (absence) / Low (future)	Securities exposure may grow	Further diligence after Nov 9
LIT-F15	ALLEGATION: Pinecrest says the outage came from failure to patch a "known vulnerability"; no detail; no other customers named.	Litigation	**Medium**	Low (allegation) / High (dates)	Cyber claim; copycat risk	Further diligence: vulnerability timeline
FIN-011	Inventory +17.8% in H1 2026 (71.3 to 84.0); inventory days 87.9 to 111.1 while hardware and backlog fall. Part of the increase reflects robots returned to inventory under the May 2026 bill-and-hold amendment (sales value 9.4; cost not disclosed) (10-Q).	Financial	**Medium**	High	Working capital; obsolescence	Structure: peg; inventory reserve review

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-013	Add-backs include auditor transition (2.3), CFO search (2.5), cyber response (1.8) and Vantor legal costs (5.9 cumulative).	Financial	**Medium**	High	EBITDA quality	Price
FIN-014	Goodwill and intangibles (132.5) exceed equity (92.0); tangible equity -40.5.	Financial	**Medium**	High	Purchase accounting	Further diligence: impairment
X-15	Named-party lookup: Norvale rank 1 ($156.2m); Pinecrest rank 4 ($17.4m); Harbor & Vine rank 5 ($15.1m); Quillon rank 2 and Ardent rank 3 have no adverse news. Vantor, Kinetic Aisle, Delmarco, Greyfin, Calder and the LiDAR supplier are not listed customers (all named customers are top 10; any unlisted party is at or below $7.9m). Hale Family Properties (landlord), Hartwell & Pryce and Linden Barr (auditors) and OSHA are also not listed customers.	Cross-source	**Low**	High	Context	None beyond related findings
X-17	No source document contains embedded instructions to the reader or an AI (all four workstreams checked).	Cross-source	**Low**	High	None	None
X-19	The class period start (Mar 10, 2025) matches no filing or article in the data. The FY2025 10-K was filed Mar 9, 2026 and press coverage of the record Q4 is dated Mar 10, 2026, exactly one year later. The start date may be anchored in a document not provided (for example the FY2024 results). Class scope affects exposure; confirm with counsel.	Cross-source	**Low**	Low	Securities exposure scope	Further diligence: counsel

5. Workstream detail

5.1 SEC filings

Sources: FY2025 10-K (filed March 9, 2026), Q2 2026 10-Q (August 6, 2026), DEF 14A (April 24, 2026), 8-K auditor change (November 14, 2025) and 8-K CFO departure (January 21, 2026).

- **Guidance cut.** The 10-Q replaced the March outlook with revenue of $470.0m to $490.0m and Adjusted EBITDA of $70.0m to $78.0m (SEC-001).
- **Bill-and-hold.**
  - The 10-K disclosed $31.8m of Q4 bill-and-hold revenue ($24.6m from the largest customer) (SEC-002).
  - The 10-Q booked a $9.4m return as a Q2 2026 revenue reduction, not a correction of 2025 (SEC-028).
  - The filings do not say who requested the arrangements or why (SEC-027).
- **Controls and auditor.** There is an adverse ICFR opinion and an unremediated material weakness (SEC-004). The auditor was dismissed after warning of expanded Q4 scope (SEC-003).
- **Norvale.** It is 31.1% of revenue and holds a change-of-control termination right (SEC-006).
- **Debt.**
  - The change of control is an event of default (SEC-007).
  - The leverage covenant steps down to 3.00x from September 30, 2026 (SEC-008, SEC-032).
  - Add-backs are capped at 15%.
- **Legal disclosure.**
  - Vantor: the 10-Q says only "in discovery" and does not mention the July 22 ruling (SEC-024, SEC-025).
  - Securities suit: no accrual, estimate or range is given (SEC-011).
  - Cyber incident: called "not material" (SEC-012).
- **Proxy.**
  - The 2025 bonus paid 142% (SEC-030).
  - Up to $28.6m of change-of-control payments, including $17.6m of single-trigger equity (SEC-015).
  - A related-party HQ lease with a rent reset on a change of control (SEC-016).

5.2 News and media

Thirteen articles were rated for reliability. Allegations and rumors are labeled.

- **Guidance cut.** The August 7 coverage confirms the cut, and shares fell 14% (NEWS-001).
- **ALLEGATION: Greyfin short report (May 12, 2026; shares -18%).**
  - It says bill-and-hold was used to hit revenue and bonus targets.
  - The amounts and the bonus math are corroborated by filings. The warehouse claim and the claim that the customer did not request the arrangements are not corroborated (NEWS-002).
- **Auditor switch.** The new firm has fewer than 10 public clients (NEWS-003).

- **Record Q4 with weak cash.** Q4 2025 was a record quarter, while operating cash flow was under $10m (NEWS-004).
- **CFO exit.** The reason is a RUMOR; the two anonymous sources differ on the detail (NEWS-005).
- **Cyber outage.** At least 40 sites were affected, and no 8-K had been filed as of April 14. The ransomware data-theft claim is UNVERIFIED (NEWS-006).
- **Norvale.** It bought Kinetic Aisle (NEWS-007).
- **Restructuring.** The July 2026 program is the fourth since 2022 (NEWS-008).
- **LiDAR tariff.** A tariff increase from 7.5% to 25% has been proposed (NEWS-009).
- **RUMOR: sale leak.** The sale process reportedly leaked on October 2, and shares rose 12% (NEWS-010).
- **Market position.** Talonfield ranks third with about 11% share in a market growing about 15% a year (NEWS-011).

5.3 Litigation

Matter	Posture	Exposure	Next dates	Key IDs
Vantor Robotics v. Talonfield (D. Del., patent)	Post claim construction (largely for Vantor), stay denied, mediation ordered	Expert $96.4m through trial; complaint at least $140.0m; enhanced damages pleaded; permanent injunction sought on Gen-3	PTAB '812 decision expected Nov 2026; expert discovery closes Nov 20, 2026; mediation Dec 2026; SJ Dec 18, 2026; trial Mar 8, 2027	LIT-F01, LIT-F08 to LIT-F12
In re Talonfield Securities Litigation (S.D. Ohio)	ALLEGATIONS; lead plaintiff appointed Sep 10, 2026	Not stated	Amended complaint Nov 9, 2026; motion to dismiss Jan 2027	LIT-F03, LIT-F04, LIT-F13, LIT-F14
Pinecrest Distribution v. Talonfield (Franklin County)	Pleadings; motion to cap damages	$12.0m claimed; cap about $1.4m (company estimate)	Hearing Nov 5, 2026	LIT-F05, LIT-F15
Ruiz v. Talonfield Field Services (wage and hour)	Settled, preliminary approval	$3.2m, accrued	Final approval Nov 13, 2026	LIT-F06 (not verified)
Delmarco (invoice) and OSHA	Closed	$0.4m and $48 thousand	None	LIT-F16 (not verified)

5.4 Financial analysis

All statements reconcile internally. No quality of earnings report has been received.

Metric	FY2023	FY2024	FY2025	H1 2026 / LTM Jun 2026
Revenue	368.9	421.7	502.3	222.6 / 498.4
Revenue growth	18.1%	14.3%	19.1% (11.6% ex bill-and-hold)	-1.7% (H1)
Hardware growth	15.1%	11.0%	15.1% (2.9% ex bill-and-hold)	-12.9% (H1)
FieldOS software growth	29.1%	25.9%	27.1%	14.6% (H1)

Metric	FY2023	FY2024	FY2025	H1 2026 / LTM Jun 2026
Gross margin	40.1%	40.8%	41.1%	38.0% (H1)
EBITDA (reported)	42.2	52.3	64.1	10.4 / 48.2
Adjusted EBITDA (company)	60.4	74.8	98.8	29.9 / 89.7
Add-backs as % of Adjusted EBITDA	30.1%	30.1%	35.1%	65.2% / 46.3%
Diligence-adjusted EBITDA	55.8	68.8	84.7	22.5 / 72.6
Operating cash flow	30.8	40.8	9.7	-4.2 / -6.9
Free cash flow	16.2	24.6	-10.1	-13.0 / -26.4
DSO (days)	60.4	63.5	86.4	85.4
Net debt	65.2	151.7	178.4	193.6
Norvale share of revenue	n/a	28.0%	31.1%	n/a
Hardware backlog	142.0	168.0	131.0	118.0
FieldOS ARR	86.0	109.5	139.2	146.8
Net revenue retention	121%	119%	118%	111%

Sources: `data/financials/*.csv` (FIN-001 to FIN-022).

Covenant (Total Net Leverage, June 30, 2026; covenant net debt $202.5m)

Test	Limit	Company method	Reading A (SBC outside 15% cap)	Reading B (SBC inside cap)
Jun 30, 2026	3.50x	2.26x (reported)	2.65x	3.62x
Sep 30, 2026 (projected)	3.00x	about 2.36x	2.84x to 3.35x	about 4.0x or more
Dec 31, 2026 (projected, guidance range)	3.00x	about 2.70x at midpoint	3.06x to 3.56x	about 5.0x

Sources: FIN-015 to FIN-019, X-07. The projections assume H2 add-backs equal H1. The top of guidance passes on Reading A if H2 non-SBC add-backs fall to $9.4m or less. Funding further cash burn with the revolver raises the ratios.

6. Cross-source insights

These insights only appear when sources are combined:

- **Timing gaps between events and filings.**
  - The Markman ruling (July 22, 2026) came 15 days before a 10-Q that called the case "in discovery" (X-04, LIT-F08, SEC-024).
  - The cyber incident (April 11, 2026) was followed by no 8-K and was called "not material", despite at least 40 sites down, a $12.0m suit and $4.1m of costs (X-05).
  - The deal model v3 (September 2026) postdates the guidance cut (August 6, 2026) (X-01).

- **Numbers that only make sense together.**
  - The $31.8m of bill-and-hold (10-K) explains most of the Q4 2025 spike in the quarterly data: Q4 growth falls from 32.4% to 5.1%.
  - The bill-and-hold is 84% of the Q4 year-on-year increase.
  - Norvale's $38.1m FY2025 increase matches the $37.8m Q4 increase (X-02, X-03, FIN-002, SEC-029).
  - The same $31.8m puts 2025 revenue only $0.5m above the bonus threshold (proxy) (SEC-030).
- **The covenant figure.** The 2.26x in the 10-Q reproduces only with uncapped Adjusted EBITDA. Applying the 10-K's covenant definition to the financial data gives 2.65x or 3.62x (X-07, FIN-015).
- **One story behind several red flags.** The auditor dismissal, the material weakness, the CFO's paid exit (reason a RUMOR), the short report (ALLEGATION), the class action (ALLEGATION) and the $9.4m return all concern the same Q4 2025 hardware transactions (X-02, X-10).
- **The Norvale picture.**
  - Its 31.1% share comes from the 10-K and the customer data.
  - Its change-of-control termination right comes from the 10-K.
  - Its Kinetic Aisle purchase comes from the news.
  - It accounts for 38% of receivables and $24.6m of the bill-and-hold.
  - Together these show a concentrated and weakening relationship (X-03).
- **Gen-3 dependence.**
  - Gen-3 is about 70% of hardware (10-K).
  - Vantor seeks an injunction on Gen-3 (docket).
  - FieldOS 5 needs Gen-3 (news).
  - The patent risk therefore reaches the software growth story too (X-04).
- **The trend.** Revenue, margins, backlog, retention, ARR growth and cash flow all weakened at the same time, against a market growing about 15% a year (X-06).
- **Stale assumptions in the deal brief.**
  - The FY2026E figures and the 11.5x multiple (X-01).
  - The 34% premium, measured on a price lifted by the leak (X-11).
  - The $35.0m synergies, which may overlap with restructuring already done (X-09).
- **Named parties.** Every customer, supplier and litigant named in any source was checked against the customer list (X-15). Vantor, Kinetic Aisle, Delmarco and the LiDAR supplier are not listed customers.

7. Recommended deal protections and price considerations

Price

- Re-base valuation on the August 2026 guidance and on diligence-adjusted EBITDA. At the deal's own 11.46x this implies about $12.60 to $14.50 per share, against the $24.00 offer and a $17.85 market price (X-01, FIN-021).
- Treat these as debt-like:
  - up to $28.6m of change-of-control payments (X-08);

    - expected Vantor cost (X-04);
    - the cash burn to closing (FIN-008, FIN-019).
- Reassess the $35.0m synergy case for overlap with restructuring Talonfield has already done (X-09).
- Measure any premium against the undisturbed price of about $15.36, not $17.85 (X-11).

Conditions before signing

- **Norvale.** Written consent and a waiver of the change-of-control termination right, ideally with a volume commitment (X-03).
- **Vantor.** Outside counsel's opinion on infringement, willfulness and design-around (X-04, LIT-F11, LIT-F12).
- **Revenue.** A forensic review of all bill-and-hold and non-standard hardware contracts (X-02, SEC-027, SEC-028), including collection of the $22.4m delivered.
- **Earnings.** A full quality of earnings report (X-09).
- **Credit agreement.** The full agreement and the Q2 and Q3 2026 compliance certificates (X-07).
- **Cyber.** The forensic report on the April 2026 incident and a list of all affected customers (X-05).

Structure, indemnities and closing conditions

- **Vantor.** A specific indemnity, with an escrow sized at least to the $96.4m expert figure. Alternatively, a closing condition tied to a settlement or license, or to the summary judgment outcome (X-04).
- **Securities and pre-closing conduct.**
    - A specific indemnity, or a price holdback, for the securities class action and for any restatement of 2025 revenue (LIT-F03, SEC-028).
    - Confirm the D&O tail coverage.
- **Financing.**
    - A covenant compliance bring-down, or lender consent, between signing and closing.
    - Payoff letters for all debt at closing (X-07, SEC-007).
- **Representations.** Specific reps on revenue recognition, internal controls, SEC reports (including litigation and cyber disclosure), and no undisclosed customer terminations (X-18).
- **Working capital peg.** A normalized peg reflecting the receivables, allowance and inventory build (X-13).
- **Cyber.** A specific indemnity for incident-related claims (X-05).
- **Related party.** A waiver of the HQ rent reset from Hale Family Properties, possibly alongside a voting agreement with Mr. Hale (SEC-016).

Timing

- Hold the IC decision until after:
    - the Pinecrest cap hearing (November 5);
    - the amended securities complaint (November 9);
    - the Q3 2026 10-Q, with the September 30 covenant test.
- Ask to extend exclusivity beyond November 20, 2026, when Vantor expert discovery also closes (X-14).

8. Open questions and management request list

Revenue and accounting

1. For each Q4 2025 bill-and-hold arrangement: the customer, who requested it, the substantive reason, and evidence for criteria (a) to (d). Also the collection status of the $22.4m delivered, and whether any bill-and-hold occurred in 2026.
2. The terms of the May 2026 amendment and the reason for the $9.4m return. Did the auditor consider correcting the 2025 error?
3. Why was Hartwell & Pryce dismissed? Provide the Audit Committee minutes and predecessor auditor communications.
4. The remediation plan and timeline for the material weakness.
5. Quarterly segment revenue and EBITDA from Q1 2024 to Q3 2026, and the bridge from the March to the August guidance. What are the latest outlook and the Q3 2026 actuals?
6. Restructuring programs since 2022, the "customer implementation delays" add-back, receivables aging, the allowance method, inventory composition and reserves, and FieldOS billing terms.

Debt

7. The full credit agreement, the Q2 and Q3 2026 compliance certificates and covenant calculations, and whether SBC sits inside the 15% cap.
8. Any lender discussions, waivers or equity-cure rights, and the prepayment terms.

Customers

9. Norvale's 2026 volumes, its intentions for the Kinetic Aisle pilot, its willingness to waive the change-of-control termination right, and its MSA renewal plans.
10. Other customers affected by the April 2026 outage, and any claims or notices from them.

Litigation and cyber

11. Vantor: the ASC 450 assessment after July 22, Talonfield's rebuttal damages figure, design-around status, the settlement posture for the December mediation, and any customer indemnities.
12. Securities suit: D&O limits and retention, and indemnification of Hale and Okafor.
13. Cyber: the forensic report, whether data was exfiltrated, the materiality analysis behind not filing an 8-K Item 1.05, and insurance recoveries.

Governance and people

14. The Okafor separation agreement and the reason for his exit, and the status of the permanent CFO search.
15. The clawback policy, and whether the Compensation Committee reviewed the 2025 bonus.
16. The value of change-of-control payments at $24.00, and a retention plan.

Other

17. Lumora goodwill: whether an interim impairment test was performed.
18. LiDAR: whether a second source is being qualified, and the tariff exposure.

9. Appendix

9.1 Methodology

Architecture. A lead agent coordinated four read-only specialist subagents:

- SEC filings analyst (`data/sec-filings/`)
- News and media analyst (`data/news/`)
- Litigation analyst (`data/litigation/`)
- Financial analyst (`data/financials/`)

An independent citation verifier then checked the findings. All work was kept in a working memory folder:

- the plan;
- a findings register with full finding cards;
- open questions;
- key metrics;
- the unedited analyst and verifier reports;
- a timestamped run log.

The system was built only from Claude Code features: subagents, slash commands, working memory and permission rules. Web access was blocked, and only files in `data/` were used.

Iterations.

- **Iteration 1:** all four analysts ran in parallel and produced 58 findings.
- **Iteration 2:** narrow follow-ups went to the financial, SEC and litigation analysts. They covered the covenant on its contractual definition, the exact Vantor disclosure wording, bill-and-hold criteria and the class period, and produced 28 findings.
- **Stop:** the loop stopped after 2 of 3 allowed iterations because the remaining questions need management or documents not in the data room.
- **Cross-source analysis:** the lead agent added 19 cross-source (X-) findings.

Checkpoint log.

Checkpoint	Date	Decision
1. Plan approval	October 18, 2026	"approve" (plan approved without changes)
2. Red flag review	October 18, 2026	"proceed" (to verification)
3. Sign-off	October 18, 2026	"approve report" (draft recommendation approved)

Verification statistics. Four verifier runs ran in parallel.

Run	Checked	Verified	Partially verified	Rejected
SEC filings	27	19	8	0
Financial and news	31	24	7	0
Litigation	13	7	6	0

Run	Checked	Verified	Partially verified	Rejected
Cross-source (X-)	19	10	9	0
Total	90	60 (66.7%)	30 (33.3%)	0

- All Partially verified findings appear with the verifier's corrected wording.
- Five severities were lowered after verification: SEC-025, SEC-027, SEC-030, LIT-F02 and LIT-F13.
- 15 Medium and Low findings were not sent for verification.

9.2 Index of verified findings

ID	Workstream	Severity	Status	Sources
X-01	Cross-source	Critical	Verified	SEC-001, NEWS-001, FIN-001
X-02	Cross-source	Critical	Partially verified	SEC-002, SEC-003, SEC-004, SEC-014, SEC-027, SEC-028, SEC-029, SEC-030, NEWS-002, NEWS-004, NEWS-005, LIT-F03, LIT-F13, FIN-002, FIN-007, FIN-020
X-03	Cross-source	Critical	Verified	SEC-006, SEC-002, SEC-018, FIN-004, FIN-002, NEWS-007
X-04	Cross-source	Critical	Partially verified	LIT-F01, LIT-F02, LIT-F08, LIT-F09, LIT-F10, LIT-F11, LIT-F12, SEC-010, SEC-024, SEC-025, SEC-026, NEWS-011, NEWS-012, FIN-013
X-05	Cross-source	High	Partially verified	SEC-012, NEWS-006, LIT-F05, FIN-013, FIN-004
X-06	Cross-source	Critical	Partially verified	FIN-003, FIN-006, FIN-008, FIN-009, SEC-020, SEC-009, NEWS-011, NEWS-013
X-07	Cross-source	Critical	Partially verified	SEC-007, SEC-008, SEC-032, FIN-015, FIN-016, FIN-017, FIN-018, FIN-019, FIN-010
X-08	Cross-source	High	Partially verified	SEC-006, SEC-007, SEC-015, SEC-016, FIN-010
X-09	Cross-source	High	Verified	FIN-005, FIN-013, NEWS-008, FIN-006
X-10	Cross-source	High	Partially verified	SEC-003, SEC-004, SEC-005, SEC-017, NEWS-003, NEWS-005
X-11	Cross-source	Medium	Verified	NEWS-010, NEWS-013, deal brief
X-12	Cross-source	Medium	Verified	SEC-022, NEWS-009
X-13	Cross-source	Medium	Verified	SEC-018, FIN-007, FIN-011, FIN-008, SEC-002
X-14	Cross-source	Medium	Verified	LIT-F02, LIT-F04, LIT-F05, LIT-F06, deal brief
X-15	Cross-source	Low	Verified	FIN-004, NEWS named parties, LIT relationships

ID	Workstream	Severity	Status	Sources
X-16	Cross-source	Medium	Verified	SEC-021, FIN-014, NEWS-013
X-17	Cross-source	Low	Verified	SEC-023, NEWS-014, LIT-F07, FIN report
X-18	Cross-source	High	Partially verified	SEC-029, SEC-024, SEC-025, SEC-012, SEC-033, FIN-015, SEC-004, LIT-F08
X-19	Cross-source	Low	Partially verified	LIT-F13, SEC-034, NEWS timeline (2026-03-10)
SEC-001	SEC filings	Critical	Verified	10-Q Q2 2026 "Updated 2026 outlook"; 10-K Item 7
SEC-002	SEC filings	Critical	Verified	10-K Note 2, Item 7; 10-Q "Bill-and-hold amendment"
SEC-003	SEC filings	High	Verified	8-K 2025-11-14 Item 4.01
SEC-004	SEC filings	High	Verified	10-K Item 9A; 10-Q Part I Item 4
SEC-005	SEC filings	High	Verified	8-K 2026-01-21 Item 5.02; DEF 14A; 10-Q
SEC-006	SEC filings	Critical	Verified	10-K Item 1, Item 1A, Note 13
SEC-007	SEC filings	High	Verified	10-K Note 9
SEC-008	SEC filings	High	Partially verified	10-K Note 9; 10-Q "Covenant compliance"
SEC-009	SEC filings	Medium	Verified	10-K Item 7; 10-Q Liquidity
SEC-010	SEC filings	High	Verified	10-K Item 1, 1A, 3; 10-Q Part II Item 1
SEC-011	SEC filings	High	Partially verified	10-Q Part II Items 1, 1A
SEC-012	SEC filings	High	Verified	10-Q "April 2026 service disruption", Part II
SEC-014	SEC filings	Medium	Verified	DEF 14A "2025 annual incentive plan"; 10-K Note 2
SEC-015	SEC filings	Medium	Verified	DEF 14A "Potential payments upon a change in control"
SEC-016	SEC filings	Medium	Verified	DEF 14A related party transactions
SEC-018	SEC filings	Medium	Verified	10-K Notes 5, 13
SEC-020	SEC filings	Medium	Verified	10-Q "Results summary"
SEC-021	SEC filings	Medium	Verified	10-K Item 1, Note 15
SEC-022	SEC filings	Medium	Verified	10-K Item 1 "Suppliers", Item 1A
SEC-024	SEC filings	High	Verified	10-Q Part II Items 1, 1A
SEC-025	SEC filings	Medium	Partially verified	10-K Item 3; 10-Q Part II Item 1
SEC-026	SEC filings	Critical	Verified	10-K Item 1, Item 1A
SEC-027	SEC filings	Medium	Partially verified	10-K Note 2, Item 1

ID	Workstream	Severity	Status	Sources
SEC-028	SEC filings	High	Partially verified	10-Q "Bill-and-hold amendment", "Revenue"
SEC-029	SEC filings	High	Partially verified	10-K Item 7, Note 2; 10-Q "Revenue"
SEC-030	SEC filings	Medium	Partially verified	DEF 14A "2025 annual incentive plan"; 10-K Note 2
SEC-032	SEC filings	High	Partially verified	10-Q "Covenant compliance"; 10-K Note 9
NEWS-001	News	Critical	Verified	2026-08-07 Capital Markets Wire para 1, 3; 2026-03-10 para 2
NEWS-002	News	Critical	Partially verified	2026-05-12 Capital Markets Wire para 1-3
NEWS-003	News	High	Verified	2025-11-18 Capital Markets Wire; 2026-03-10 para 5
NEWS-004	News	High	Verified	2026-03-10 Capital Markets Wire para 1, 4
NEWS-005	News	High	Partially verified	2026-01-23 Columbus Business Ledger para 1-4
NEWS-006	News	High	Partially verified	2026-04-14 Supply Chain Dispatch para 1-5; 2026-08-07 para 2
NEWS-007	News	High	Verified	2026-06-24 RoboEconomy Weekly para 1-4
NEWS-008	News	Medium	Verified	2026-07-30 Columbus Business Ledger para 1-3
NEWS-009	News	Medium	Verified	2026-09-15 Supply Chain Dispatch para 1-3
NEWS-010	News	Medium	Verified	2026-10-02 Capital Markets Wire para 1-2
NEWS-011	News	Medium	Verified	2026-08-20 Warehouse Tech Review para 1-2
LIT-F01	Litigation	Critical	Verified	LIT-001 docket 2026-07-22, 08-14, 09-04, 09-25
LIT-F02	Litigation	Medium	Partially verified	LIT-001 docket 2026-09-25, 10-05
LIT-F03	Litigation	High	Partially verified	LIT-003 "Allegations"; docket 2026-06-03, 09-10
LIT-F04	Litigation	Medium	Verified	LIT-003 docket
LIT-F05	Litigation	Medium	Verified	LIT-004 "Key facts"; docket
LIT-F08	Litigation	High	Verified	LIT-001 docket 2026-07-22; docket_index.csv
LIT-F09	Litigation	Medium	Partially verified	LIT-001 docket 2024-11-04, 2025-05-15, 2026-09-25
LIT-F10	Litigation	High	Verified	LIT-001 docket 2026-09-04, 09-25, 10-05; Upcoming dates
LIT-F11	Litigation	High	Partially verified	LIT-001 header, docket 2024-03-11
LIT-F12	Litigation	High	Partially verified	LIT-001 docket 2026-08-14, 09-04; header

ID	Workstream	Severity	Status	Sources
LIT-F13	Litigation	Medium	Partially verified	LIT-003 header, Allegations
LIT-F14	Litigation	Medium	Verified	LIT-003
LIT-F15	Litigation	Medium	Verified	LIT-004 Key facts, docket
FIN-001	Financial	Critical	Verified	adjusted_ebitda_reconciliation.csv; income_statement.csv; balance_sheet.csv
FIN-002	Financial	High	Verified	revenue_quarterly.csv; revenue_by_customer.csv
FIN-003	Financial	High	Verified	income_statement.csv
FIN-004	Financial	High	Verified	revenue_by_customer.csv
FIN-005	Financial	High	Verified	adjusted_ebitda_reconciliation.csv
FIN-006	Financial	High	Verified	income_statement.csv; kpis.csv
FIN-007	Financial	High	Partially verified	balance_sheet.csv
FIN-008	Financial	High	Verified	cash_flow.csv; balance_sheet.csv
FIN-009	Financial	High	Verified	kpis.csv; income_statement.csv
FIN-010	Financial	High	Verified	balance_sheet.csv; cash_flow.csv; adjusted_ebitda_reconciliation.csv
FIN-011	Financial	Medium	Partially verified	balance_sheet.csv; income_statement.csv
FIN-013	Financial	Medium	Verified	adjusted_ebitda_reconciliation.csv detail rows
FIN-014	Financial	Medium	Verified	balance_sheet.csv
FIN-015	Financial	High	Verified	balance_sheet.csv Q2_2026; adjusted_ebitda_reconciliation.csv LTM
FIN-016	Financial	Critical	Verified	adjusted_ebitda_reconciliation.csv LTM; balance_sheet.csv
FIN-017	Financial	High	Verified	adjusted_ebitda_reconciliation.csv; revenue_quarterly.csv; cash_flow.csv
FIN-018	Financial	Critical	Partially verified	adjusted_ebitda_reconciliation.csv H1_2026; balance_sheet.csv
FIN-019	Financial	High	Partially verified	balance_sheet.csv; cash_flow.csv
FIN-020	Financial	High	Verified	income_statement.csv; revenue_by_customer.csv
FIN-021	Financial	Critical	Verified	balance_sheet.csv; income_statement.csv; deal brief

9.3 Findings not verified

These Medium and Low findings were not sent to the citation verifier. They are shown for completeness and are labeled "not verified".

ID	Finding	Workstream	Severity	Label
SEC-013	Ruiz wage-and-hour case settled for $3.2m, accrued, preliminary approval May 20, 2026.	SEC filings	Low	not verified

ID	Finding	Workstream	Severity	Label
SEC-017	Combined Chair/CEO, no lead independent director, founder owns 14.2%.	SEC filings	Low	not verified
SEC-019	10-Q drops ARR and NRR disclosure, does not name Norvale, says "no material changes" to risk factors besides securities litigation.	SEC filings	Medium	not verified
SEC-023	No embedded instructions in SEC files; backlog and RPO not disclosed.	SEC filings	Low	not verified
SEC-031	Q3 2025 results and H2 2025 quarterly EBITDA not found in SEC filings; H2 2025 Adj. EBITDA derived 59.8.	SEC filings	Medium	not verified
SEC-033	10-K excerpts have no Item 1C; cyber risk factor hypothetical; 10-Q "some customers" vs news "at least 40 sites"; quantified incident impact $16.1m incl. claim.	SEC filings	Medium	not verified
SEC-034	Class period start (Mar 10, 2025) matches no filing in the SEC folder.	SEC filings	Medium	not verified
NEWS-012	FieldOS 5 features require Gen-3 robots or newer; software target over a third of revenue.	News	Low	not verified
NEWS-013	Share price fell 48.3% from $31.75 high to $16.40 on specific events (short report -18%, guidance cut -14%).	News	Medium	not verified
NEWS-014	No prompt injection found in news files.	News	Low	not verified
LIT-F06	Ruiz settled for $3.2m; final approval hearing Nov 13, 2026.	Litigation	Low	not verified
LIT-F07	No embedded instructions in litigation files.	Litigation	Low	not verified
LIT-F16	Docket index values for LIT-005 (Delmarco, $0.4m, closed) and REG-001 (OSHA, $48 thousand, closed).	Litigation	Low	not verified
FIN-012	$13.3m buybacks in FY2025 while FCF was -10.1 and revolver drawn 25.0.	Financial	Medium	not verified
FIN-022	Vantor costs (4.1) and implementation delays (3.3) look operating; Adj. EBITDA ex these 82.3; finance leases may add to Total Debt.	Financial	Medium	not verified

9.4 Severity and confidence definitions

Severity

- **Critical:** could stop the deal, block closing, or change value by more than 10%.
- **High:** material impact on price or terms, or needs a specific protection.
- **Medium:** manageable, but needs follow-up.
- **Low:** noted for completeness.

A covenant problem cured by refinancing at closing is High, unless it causes a default before signing or closing.

Confidence

- **High:** stated in a primary source, with numbers recomputed.
- **Medium:** inferred from several data points, or from one secondary source.
- **Low:** an allegation or rumor that is not confirmed.

9.5 Source index

Folder	Files
`data/deal-brief.md`	Deal brief (October 17, 2026)
`data/sec-filings/`	TLFS 10-K FY2025 excerpts; 10-Q Q2 2026 excerpts; DEF 14A 2026 excerpts; 8-K 2025-11-14 auditor change; 8-K 2026-01-21 CFO departure
`data/news/`	13 articles, November 18, 2025 to October 2, 2026 (Capital Markets Wire, Columbus Business Ledger, Warehouse Tech Review, Supply Chain Dispatch, RoboEconomy Weekly)
`data/litigation/`	`docket_index.csv` ; LIT-001 Vantor; LIT-002 Ruiz; LIT-003 securities class action; LIT-004 Pinecrest
`data/financials/`	Income statement, quarterly revenue, balance sheet, cash flow, Adjusted EBITDA reconciliation, revenue by customer, KPIs

9.6 Limitations

- **Excerpts only.** The SEC filings are excerpts, so omissions may sit in sections not provided (for example the 10-Q notes and the 10-K Item 1C). Where this matters, the findings say "in the excerpt provided".
- **Missing documents.** There is no full credit agreement, no Q3 2026 results, no quarterly EBITDA, no Norvale contract and no quality of earnings report. The covenant projections rest on stated assumptions.
- **No management access.** There was no management access or site visit.
- **Unlabeled claims are not facts.** Allegations (short seller, class action, Pinecrest) and rumors (CFO exit reason, sale leak, ransomware claim) are labeled, and none is treated as fact.
- **Legal readings are for counsel.** The legal interpretations here, for example whether SBC sits inside the covenant cap or how much damages could be enhanced, need outside counsel.
- **Fictional case.** All companies, people and data are fictional. This report is a draft for human decision-makers, not investment, legal or accounting advice.